CORPORATE LAWS & PRACTICES

Nov-Dec 2024

Time allowed- 3:30 hours
Total marks- 100

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

Marks

1. a) Company XYZ is a OPC and successful technology startup that specializes in developing innovative software solutions. The company was incorporated as a limited liability company, with Mr. X as the sole shareholder and director. One day, while using XYZ's software, a customer named Mr. S encountered a technical glitch that resulted in the loss of important data. As a result, Mr. S suffered financial losses and decided to take legal action against XYZ to seek compensation for the damages incurred. In court, Mr. S argued that since Mr. X was the sole shareholder and director of XYZ, he should be personally liable for the damages caused by the software glitch.

Requirement:
Outline Mr. X's potential legal exposure by explaining the relevant concept of corporate law based on an established case decision. 6

b) FAB Power Bangladesh Ltd. is a wholly owned subsidiary of FAB Power International Inc. in the USA, operating in Bangladesh's power sector with a strong reputation since 2000. Following a recent merger and acquisition involving the parent company, FAB Power International Inc. has rebranded as SSA Power Japan Inc. Consequently, the Bangladesh subsidiary is set to change its name to SSA Power Bangladesh Ltd. by December 2025, as directed by the Board of the parent company.

Requirements:
As the senior partner at QRS Chartered Accountants and the consultant for the newly renamed SSA Power Japan Inc., you have received an urgent, confidential request from the CEO's office at SSA Power Japan Inc. They seek your legal opinion on several pressing matters under current laws:

i) The parent company wishes to terminate the contract of Mr. P, the current CEO of FAB Power Bangladesh Ltd., who was appointed for three years with an annual salary of BDT 2.40 crore, leaving ten months remaining in his tenure. This termination is intended to be categorized as a strategic move rather than a performance issue, as the new parent company aims to assert its global control. 8

ii) Guidance on the procedure to change the company name. 7

iii) Currently, FAB Power Bangladesh Ltd. holds a loan of BDT 400 crore with CD Bank Plc. and has an insurance policy with CD General Insurance Plc. for an insured value of BDT 500 crore. Additionally, the company has BDT 50 crore in creditors and BDT 75 crore in debtors. The parent company seeks clarification on how the name change will affect the rights of banks, insurers, creditors, debtors, and other stakeholders. 4

2. a) The Enron scandal was a significant corporate downfall marked by financial misconduct, ethical lapses, and systemic failures. Enron engaged in fraudulent practices, while its auditor, Arthur Andersen, faced allegations of obstruction of justice. Enron executives, including the CFO and CEOs, were found guilty of financial crimes. The scandal resulted in bankruptcy. This case serves as a reminder of the importance of ethical leadership, transparency, and accountability in corporate governance, shaping practices and standards in the business world.

Requirement:
Giving the reference of the law, explain how can the corporate governance code in Bangladesh ensure ethical leadership, transparency, and accountability in corporate governance by the management and auditor of the company, thereby preventing corporate scandals similar to Enron? 8

b) XYZ PLC is a pharmaceutical company that has been conducting clinical trials for a groundbreaking drug. During the trials, they discover that the drug has shown remarkable effectiveness in treating a specific medical condition. This information, if disclosed, could significantly impact the company's stock price. Instead of disclosing this material information to the public, the management decides to keep it confidential. They proceed to purchase a substantial number of shares in XYZ PLC at a lower price, anticipating that once the positive trial results are announced, the stock price will skyrocket.

Requirements:

i) Quoting the relevant provisions of law, explain the potential consequences and ethical implications of breaching the principles on disclosure of material information and price-sensitive information, as illustrated in the hypothetical case of XYZ PLC. 6

ii) In case XYZ PLC fails to comply with the disclosure, describe what action the Commission can take against XYZ PLC. 4

c) ABC Bank Plc is a listed company with both Dhaka and Chattogram Stock exchanges since 2000 as a 'A' category company except in the year 2021.

In 2021, the operating performance of the bank was not good enough to pay minimum dividend, hence its shares got 'Z' category. Based on the audited financials for the year ended 31 December 2023, ABC Bank Plc has held its Annual General Meeting (AGM) virtually on 30 May 2024.

The notice of the meeting was served duly. There were all ordinary business agenda placed in the meeting. Among the agenda of election/ reelection of directors as per the Companies Act, 1994, three directors got retired and again nominated for reelection.

Among them, Mr. X failed to obtain required votes to qualify him as elected. Mr. X assumed it as planned game and challenges the holding of the AGM.

He also raised a complaint with the Commission that votes were casted before holding the AGM i.e. 29 May 2024.

Based on the complaint raised by the director, Mr. X, Bangladesh Securities and Exchange Commission has issued a letter to board to justify the due holding of the AGM.

Requirements:

i) Before responding the queries, the board has advised you to explain the validity of holding the AGM and casting of the votes. 4

ii) Assuming the AGM were conducted duly, what are procedure to fill the vacancy of director as per Companies Act, 1994? 3

3. Five Chartered Accountants, all members of the Institute of Chartered Accountants of Bangladesh (ICAB), have established a firm named 'ABC Chartered Accountants,' which received registration from ICAB on January 1, 2022, where you serve as Director. All partners are currently enlisted with the Financial Reporting Council (FRC), and their enlistments are approaching expiration. The firm intends to appoint one additional Chartered Accountant as a partner, who is also a member of ICAB. Additionally, the firm has opened two new branch offices—one in Chattogram and another in Uttara, Dhaka—both of which require FRC enlistment.

You are in the process of renewing enlistments and obtaining fresh enlistments for the newly appointed partners with the FRC, in accordance with the Financial Reporting Council Rules 2022. A complete list of partners, along with relevant descriptions, has been provided for your review:

Sl	Name of Partners	Descriptions
1	Mr. A, FCA	Enlistment expires on December 31, 2024. Recently obtained dual citizenship (USA). Mr. A stayed in USA from 1.1.2023 to 31.07.2024. Practicing Chartered Accountant since 2018.
2	Mr. B, FCA	Enlistment expires on December 31, 2024. Bangladeshi citizen. Practicing Chartered Accountant since 2018.
3	Mr. C, FCA	Enlistment expires on December 31, 2024. Bangladeshi citizen. Practicing Chartered Accountant since 2018. He plans to migrate to Australia with his family, with his children already relocated. Mr. C and his wife intend to move by June 2026 after settling matters in Bangladesh.
4	Mr. D, FCA	Enlistment expires on December 31, 2024. Bangladeshi citizen. Practicing Chartered Accountant since 2020. In June 2024, he had an Open heart surgery which was successfully done at NICVD. Now he is taking high level care at his home in his daily routine life. He has taken official leave from the firm as well from council for six month from 1.07.2024 to 31.12.2024.
5	Mr. E, FCA	Enlistment expires on December 31, 2024. Practicing Chartered Accountant since 2020. Mr. E was previously arrested in connection with a criminal suit and spent 4 months in prison; he is currently released on bail.

6	Mr. F, FCA	ICAB member. Bangladeshi origin Canadian Citizen returned to Bangladesh after 6 years. Joined the firm as Director on July 1, 2024, on conditions to become a partner after obtaining Certificate of Practice (COP) from ICAB for which application has made and unofficial sources said the COP will be issued soon in favor of Mr. F, FCA

Requirement:
You are required to submit a report before the next partners' meeting outlining the eligibility for renewals and new enlistment of the partner, in accordance with the relevant rules. 10

4. a) ABC Bank extends a loan of BDT 5,000,000 to Mr. Rahim for the purpose of purchasing machinery for his manufacturing business. The loan agreement stipulates that the funds are to be exclusively used for this purpose.

Four months after disbursing the loan, Mr. Rahim transfers a significant portion of the loan amount to his personal account, using it to finance his son's education abroad instead of investing it in the machinery. Subsequently, he fails to make the scheduled loan repayments despite having adequate funds in his business account.

Upon investigation, it is also found that Mr. Rahim submitted falsified income statements and misrepresented his business's revenue when applying for the loan, inflating his financial capacity. He is one of the directors of XYZ Bank PLC.

Requirements:

i) Identify the criteria that classify Mr. Rahim as a "Willful Defaulting Borrower" according to the definition provided by Bangladesh Bank. Discuss at least two specific actions that contribute to this classification. 2

ii) What actions should ABC Bank take in response to Mr. Rahim's behavior to mitigate risks associated with willful default? Describe any potential legal or financial consequences Mr. Rahim could face as a result of being classified as a willful defaulter. 3

iii) Are there any consequences if the ABC Bank does not do so as guided by Bank Companies Act, 1991 (Amended up to 2023)? 2

b) In order to bring governance in the banking sectors, Bangladesh Bank has recently rescinded some of the weak governed banks' the existing board consisting of its shareholder directors and independent directors and reconstituted the board by nominating independent directors of different capacities in their place.

PQR Bank PLC, a listed bank operating in Bangladesh is one of them. Five industry experts including academician and chartered accountants have been nominated in the board of the bank as independent director for an indefinite period.

Requirements:

i) Justify the action of Bangladesh Bank as per Bank Companies Act, 1991 (as amended up to 2023). 2

ii) Being a listed bank, can Bangladesh Bank solely appoint independent directors? Is there any conflict with the Corporate Governance Code of Bangladesh Securities and Exchange Commission? 2

c) Company X, a textile manufacturer in Bangladesh, regularly imports raw materials from Company Y in China. Company X needs to process these raw materials into finished products before selling them to end customers. This process takes about 90 days, which means Company X has a cash-to-cash cycle of 90 days. On the other hand, Company Y prefers to receive payment immediately upon shipment (Sight L/C) due to concerns about the financial stability of Bangladeshi banks and country risk. However, Company X prefers a Usance L/C with a 90-day payment term to align with their cash flow cycle.

Requirement:
Describe how UPAS can provide an innovative solution for both Company X and Company Y. 4

5. Andramica PLC is a non-banking financial institution listed on both the Dhaka Stock Exchange and the Chittagong Stock Exchange. The company engages in various financial activities, including making loans and advances for industrial and commercial purposes, underwriting, and leasing machinery. In 2024, Andramica PLC decides to expand its investment portfolio. The company plans to acquire a significant number of shares in a promising agricultural technology startup, AgriTech Innovations Ltd., which is expected to revolutionize farming practices in Bangladesh.

Accordingly, Andramica PLC plans to invest BDT 500 million in AgriTech Innovations Ltd. and allocate another BDT 500 million for acquiring property for operational use. The company's paid-up capital and reserves currently amount to BDT 2 billion.

Requirement:
How can Andramica PLC ensure compliance with the Financial Institutions Act 1993 while pursuing the above investment and property acquisition strategies? 5

6. a) Following is the extract of financials of a life Insurance business in which premium collection and total management expenses are shown. The auditors have raised a point of qualification that the management expenses are excess over the limit of premium collected as per section 62(1), Insurance Act, 2010-

	2023	**2022**
Particulars	**Premium (BDT)**	**Premium (BDT)**
First year premium		
Single premium	16,331,591	1,593,800
Ten years	26,201,430	1,076,614
Eleven Years	22,078	2,654,159
Group insurance	16,237,135	-
Renewal	2,330,196	-
Twelve years	73,536,954	-
Total	**134,659,384**	**5,324,573**
Total management expenses	**114,510,989**	**10,823,743**

Requirements:

i) As the CFO of the company, you are advised to report to the Board on the point raised as per section 62(1), Insurance Act, 2010. 3

ii) What is the remedy available as per the law and IDRA? 2

b) Mr. P holds the position of Deputy General Manager (Development) at ABC Life Insurance Plc., a company that has been operational since 1990. In this role, Mr. P earns a monthly salary along with commission-based incentives tied to the overall sales and collections of life insurance policies. Due to his exceptional performance and significant contributions to the company's business growth, he is a strong candidate for promotion to General Manager by January 2025, contingent on meeting annual business targets. Recognizing Mr. P's outstanding achievements over the past two years, the company has awarded him a preferential commission rate of 40% on premiums collected for both the first year and subsequent renewals—an arrangement that exceeds the standard commission rate provided to his peers.

In light of his potential promotion, Mr. P has increased his efforts to grow policy collections. To support this initiative, he has entered into a formal agreement with his friend, Mr. N, an executive at a major business conglomerate. This agreement, formalized on a non-judicial stamp paper valued at Taka 300, outlines that Mr. N will refer potential clients to Mr. P for new insurance policies. In return, Mr. N will receive a commission of 45% on the premium collected in the first year and a renewal commission of 30% on subsequent premiums collected from the policies he refers. Additionally, Mr. P has committed to an extra 5% first-year commission to Mr. N from his own earnings, demonstrating his commitment to achieving his targets and advancing his career.

Requirement:
Assess the compliance of Mr. P's program to increase policy business, along with his 40% special commission rate, within the regulatory framework set forth by the Insurance Act. 5

7. As the Chief Financial Officer (CFO) of EPF Plc., a composite textile business incorporated on July 1, 2020, in Bangladesh, you are part of a company aiming for listing on both the Dhaka Stock Exchange (DSE) and the Chittagong Stock Exchange (CSE) at the earliest opportunity. EPF Plc. is one of the most modern and prestigious ventures of the renowned business conglomerate, the Golden Group. Established as a 100% export-oriented and compliant company, EPF's factory employs state-of-the-art technology. Other concerns within the Golden Group have achieved international certifications, recognitions, and maintain strong corporate governance practices.

EPF Plc. provides a highly competitive compensation package, which includes short-term and long-term incentives, alongside a world-class work environment. The benefits offered include: (i) two

festival bonuses equivalent to two months' basic pay, (ii) a Bangla New Year (Nobo Borsho) bonus at 20% of basic pay, (iii) incentive bonus, (iv) production bonuses, (v) group insurance, (vi) a 10% contributory provident fund, (vii) gratuity, (viii) a benevolent fund and (ix) so many fringes benefits.

During a review of the Corporate Governance Code, conducted by a consultant appointed specifically to assist with the listing process, the CEO observed that EPF Plc. has not established a "Workers' Profit Participation Fund" (WPPF) as required by the Bangladesh Labour Act 2006 (amended in 2018) and Bangladesh Labour Rules 2015. These regulations mandate the transfer of 5% of net profit to the WPPF to benefit employees. The CEO argued that EPF Plc. already provides a highly attractive compensation package, unparalleled in the industry, and thus, creating an additional WPPF is unnecessary. The CEO noted that EPF paid an incentive bonus amounting to 10% of net profit last year, consistent with company policy, and that this practice aligns with those of other Golden Group concerns.

The consultant, however, raised a compliance issue, expressing that despite the generosity of EPF's benefits, the company remains non-compliant with the law. He cautioned that this could affect the listing approval.

The Chairman of the company discussed this issue with you and expressed his opinion that the CEO's approach is appropriate; at this time, the company should avoid increasing its financial obligations. However, he indicated that the establishment of a Workers' Profit Participation Fund (WPPF) could be reconsidered in the future, depending on the company's growth and financial strength. In the meantime, the Chairman has requested that you conduct preliminary research on the formation, operation and management structure of a WPPF and prepare a briefing note for him.

Requirements:

a) As CFO of EPF Plc., do you agree with the CEO's viewpoint that a 10% incentive on net profit could serve as a viable alternative to the legally mandated Workers' Profit Participation Fund? Why or why not? 3

b) How would you address this compliance issue on the backdrop of financial obligation of the company and what process you need to follow to convince both the regulators and your CEO? 4

c) What should be your briefing note for the Chairman regarding the formation, operation and management structure of the Workers' Profit Participation Fund (WPPF)? 3

---The End---